

EXPERT VOICE

The Board of India Today Economists on the challenges facing the Government



SUBIR GOKARN



Chief Economist, Standard & Poor's, Asia Pacific

- Keeping investment in infrastructure going, even as fund flows—particularly from abroad—dry up
- Safety nets to job losers—in construction and high exports sectors, impact will be largely on unskilled and low-skilled workers
- Getting banks to resume lending to companies and consumers

S. MAHENDRA DEV



Chairman, Commission for Agricultural Costs and Pricing

- Calibrating fiscal stimulus for industry and services to spur demand to improve growth
- Managing the balance of payments situation through incentives as exports dip and inflows drop
- Enhancing employment through programmes and incentives

BIBEK DEBROY



Professor, Centre for Policy Research and IMI

- Ensuring that flagging investment recovers
- Reining in fiscal profligacy
- Reforming the rural economy, so that sources of growth become more endogenous

AJIT RANADE



Chief Economist, Aditya Vikram Birla Group

- Getting the investment confidence back and preventing reinforcement of consumer and business pessimism
- Pushing execution of infrastructure projects faster through tax cuts, spending and administrative reforms
- Preventing dumping of cheap imports which will hurt producers

SUMAN K. BERY



Director-General, National Council of Applied Economic Research

- Maintaining domestic and international confidence in the quality of India's economic management
- Avoiding any major accidents in vulnerable areas like overseas defaults by corporate and maintaining asset quality in our banks
- Having contingency plans for eventualities like a run on the rupee

SIDDHARTHA ROY



Chief Economist, Tata Sons

- Creating consumer confidence and investment optimism through better availability of funds at lower interest rates
- Designing a fiscal package for stimulating exports and domestic demand in employment intensive industries
- Managing volatility in equity market, fostering a vibrant bond market

ASHIMA GOYAL



Professor, Indira Gandhi Institute of Development Research

- Maintaining the growth rate to retain jobs
- Government capacity for effective expenditure
- Ability of the domestic financial system to substitute for international credit

And yes, Ranbaxy sold out to Daiichi Sankyo. Business as usual, you could say.

Fact is, nobody saw the tsunami coming. Some economists like Nouriel Roubini and Raghuram Rajan did, but their fears were consigned behind the picket fence of sobriety. Regulators were caught sleeping on the job, and with the enemy. The best managed corporations employing the best talent at stratospheric sums had rewritten the algorithm of risk as the dollar was being leveraged 70 times, nay created, to fund a fantasy called returns. Lehman Brothers was reduced to a milestone to carbon-date the meltdown—Before Crisis or After Depression. Pre-crisis indices across markets were at all-time highs. Now they are close to all time lows. The withdrawal symptoms are only too visible.

As the world was waking up to the possibility of a recession, India was battling the phantom called inflation. As the Government chased the political objective of keeping inflation low, the economic objective of growth was crippled. While economists argued with both hands, global markets crashed. Wall Street resembled the sets of *The Day After*. The sliding Sensex tanked to 7,697 erasing \$1.5 trillion of investor wealth from the peak. India woke up to the perils of a global slowdown forcing the Government to take a U-turn and pump liquidity in order to prevent a collapse. Across the Atlantic, politicians and bankers got into bed again to formulate what many see as a morally hazardous, adulterous policy